Chapter Twenty-One

Policy Framework Not Good Enough to Make India a Digital Economy

National Policy on Electronics, 2012 (NPE-2012)

Chip design, producing integrated circuits for manufacturing computers and embedding consumer and other products, also called electronic system design and manufacturing (ESDM), or simply electronics, is the first of the three big digital technologies: hardware, software and platforms.

Recognizing that it was losing the electronics hardware game, India announced the National Policy on Electronics (NPE) in 2012. The policy recognized explicitly that the electronics industry was the largest and fastest growing manufacturing industry in the world with a turnover of about $1.75 trillion. It also recognized that the domestic electronics industry was quite small at only $20 billion with ‘actual value-addition in domestically produced electronic product’ being very low, ranging between 5 per cent and 10 per cent in most cases. It presented an ominous scenario of Indian demand for electronics reaching $400 billion by 2020 and the country importing about $300 billion of electronics, which ‘may far exceed oil imports’, unless the government took action.

NPE-2012 articulated the vision of creating ‘a globally competitive electronics design and manufacturing industry to meet the country’s needs and serve the international market’ and the specific objective of achieving a turnover of about $400 billion by 2020, involving investment of about $100 billion and employment to around 28 million.

NPE 2012 proposed a slew of measures, like providing ‘attractive fiscal incentives across the value chain of the ESDM sector through a Modified